

Internal Audit Report - FY2026

Procurement & Financial Controls Review - Confidential

1. Executive Summary

Internal Audit completed its review of procurement and financial controls for the fiscal year ending 31 March 2026. The review assessed the design and operating effectiveness of key controls across five business units, covering a risk-based sample of 240 transactions. Overall, controls were operating effectively, with three exceptions noted that did not rise to the level of a material weakness.

2. Scope & Objectives

The objective was to provide assurance over the completeness, accuracy, and authorisation of procurement transactions, and to evaluate segregation of duties within the purchase-to-pay cycle. Fieldwork was performed between January and March 2026.

3. Methodology

A risk-based approach was applied to sample selection. Populations were reconciled to the source system and confirmed complete prior to sampling; selections were made using a fixed-interval method with a confidence level of 95%.

4. Control Environment

The control environment was assessed as satisfactory. Management demonstrated appropriate tone at the top and remediation of prior-period findings was substantially complete.

5. Summary of Findings

Three exceptions were identified: (i) duplicate vendor master records; (ii) change approvals processed after implementation; and (iii) a failed backup restoration test. Root cause was assessed for each and management responses obtained.

6. Recommendations

Implement automated duplicate-vendor detection at the point of master-data entry; enforce pre-implementation approval gates for changes; and schedule quarterly backup restoration tests with documented sign-off.

7. Management Response

Management agrees with the findings and recommendations. Remediation owners and target dates have been assigned, with completion expected by 30 June 2026. Internal Audit will validate closure in the next cycle.

8. Conclusion

Based on the procedures performed, controls over procurement and financial reporting were operating effectively during the period, subject to the agreed remediation of the three exceptions noted.